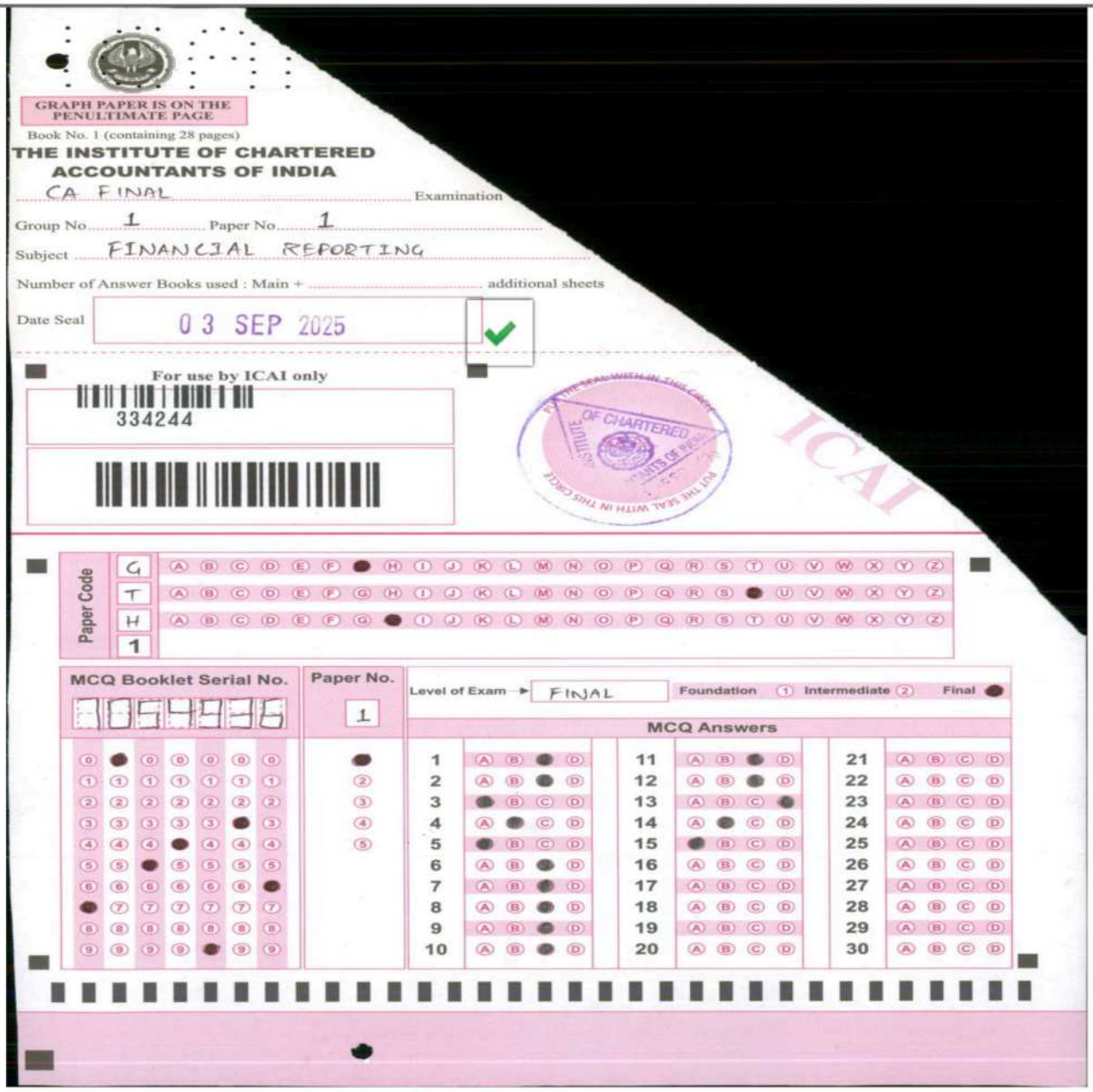
The Institute of Chartered Accountants of India

Code:	**FN1FR334244**	**Total Marks:**	**70**
Subject :	**01 Financial Reporting**	**Marks Obtained :**	**52.5**



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Book No. 1 (containing 28 pages)

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA

CA FINAL Examination

Group No. 1 Paper No. 1

Subject FINANCIAL REPORTING

Number of Answer Books used : Main + ... additional sheets

Date Seal 03 SEP 2025

For use by ICAI only

334244

Paper Code: G T H 1

MCQ Booklet Serial No. 1054946

Paper No. 1

Level of Exam → FINAL Foundation (1) Intermediate (2) Final ●

MCQ Answers

1	A B ● D	11	A B ● D	21	A B C D
2	A B ● D	12	A B ● D	22	A B C D
3	● B C D	13	A B C ●	23	A B C D
4	A ● C D	14	A ● C D	24	A B C D
5	● B C D	15	● B C D	25	A B C D
6	A B ● D	16	A B C D	26	A B C D
7	A B ● D	17	A B C D	27	A B C D
8	A B ● D	18	A B C D	28	A B C D
9	A B ● D	19	A B C D	29	A B C D
10	A B ● D	20	A B C D	30	A B C D

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Code:	**FN1FR334244**	**Total Marks:**	**70**
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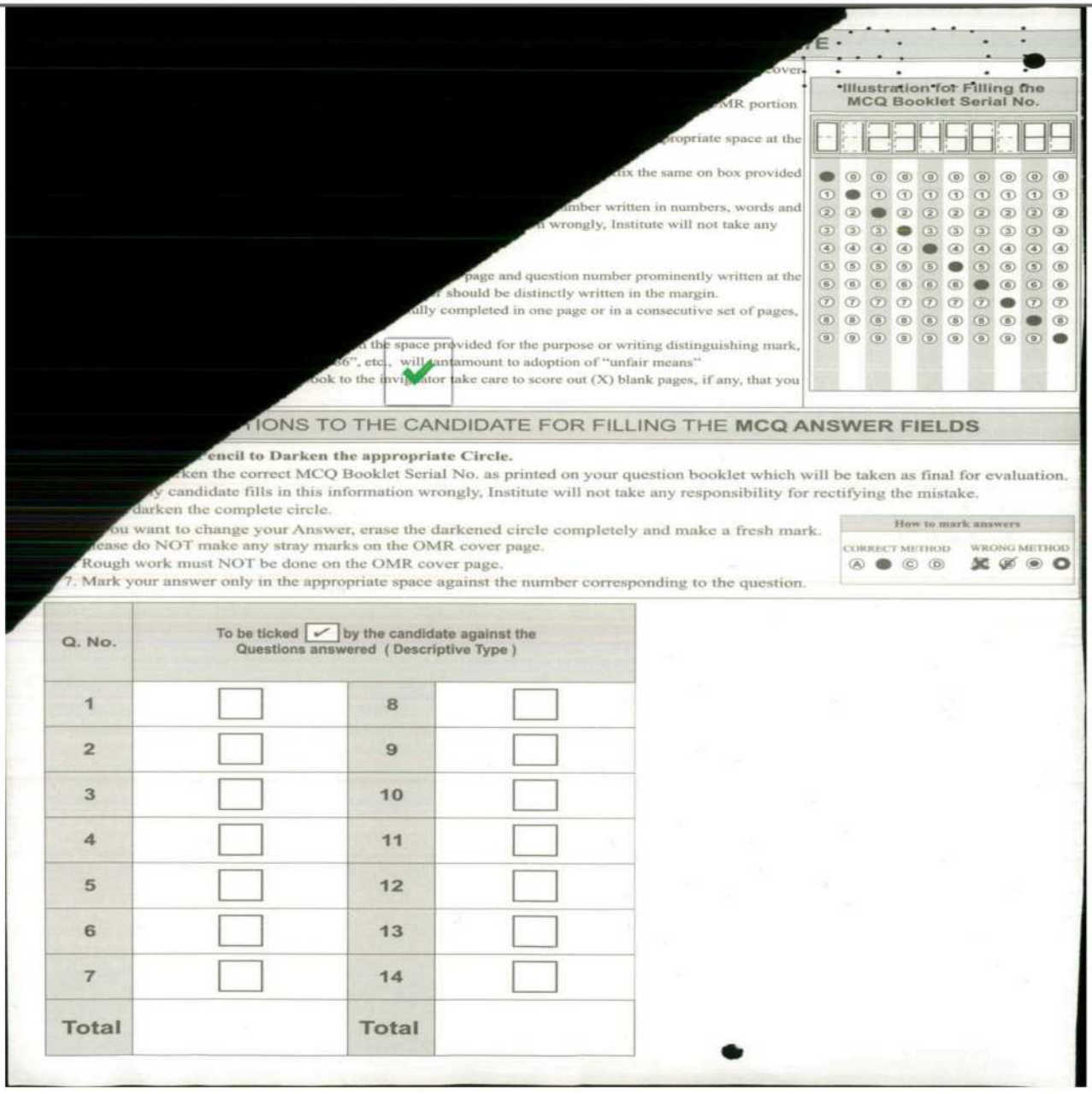


Illustration for Filling the MCQ Booklet Serial No.

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Rough work must NOT be done on the OMR cover page.

7. Mark your answer only in the appropriate space against the number corresponding to the question.

How to mark answers

CORRECT METHOD WRONG METHOD

Q. No.	To be ticked ✓ by the candidate against the Questions answered (Descriptive Type)		
1		8	
2		9	
3		10	
4		11	
5		12	
6		13	
7		14	
Total		Total	

03

Q2) a) i) Initial recognition on 01/04/2021

The convertible debentures are convertible at the option of the holder into equity shares on redemption. Therefore, they are compound financial instruments as per Ind AS 32 and need to be split into equity & liability components at fair value.

Fair value of liability component:

Present value of interest payments at market rate of interest = 15,000 × 100 × 8% × 3.605 [PVAF(12%, 5 years)] = 4,32,600

Present value (PV) of principal repayment = 15,000 × 100 × 0.567 [PVF(12%, 5th year)] = 8,50,500

Liability component ✓ 12,83,100

2aStep1 ✓ 1.5

Equity component = Issue proceeds - Liability component
= 15,000 × 100 - 12,83,100
= 15,00,000 - 12,83,100 ✓
= 2,16,900

Journal entry @ initial recognition:

01/04/2021	Bank a/c	Dr.	15,00,000
	To Liability component of Convertible debenture		12,83,100
	To Equity component of convertible debenture		2,16,900 ✓

2aStep2 ✓ 1

(Being convertible debentures issued)

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04

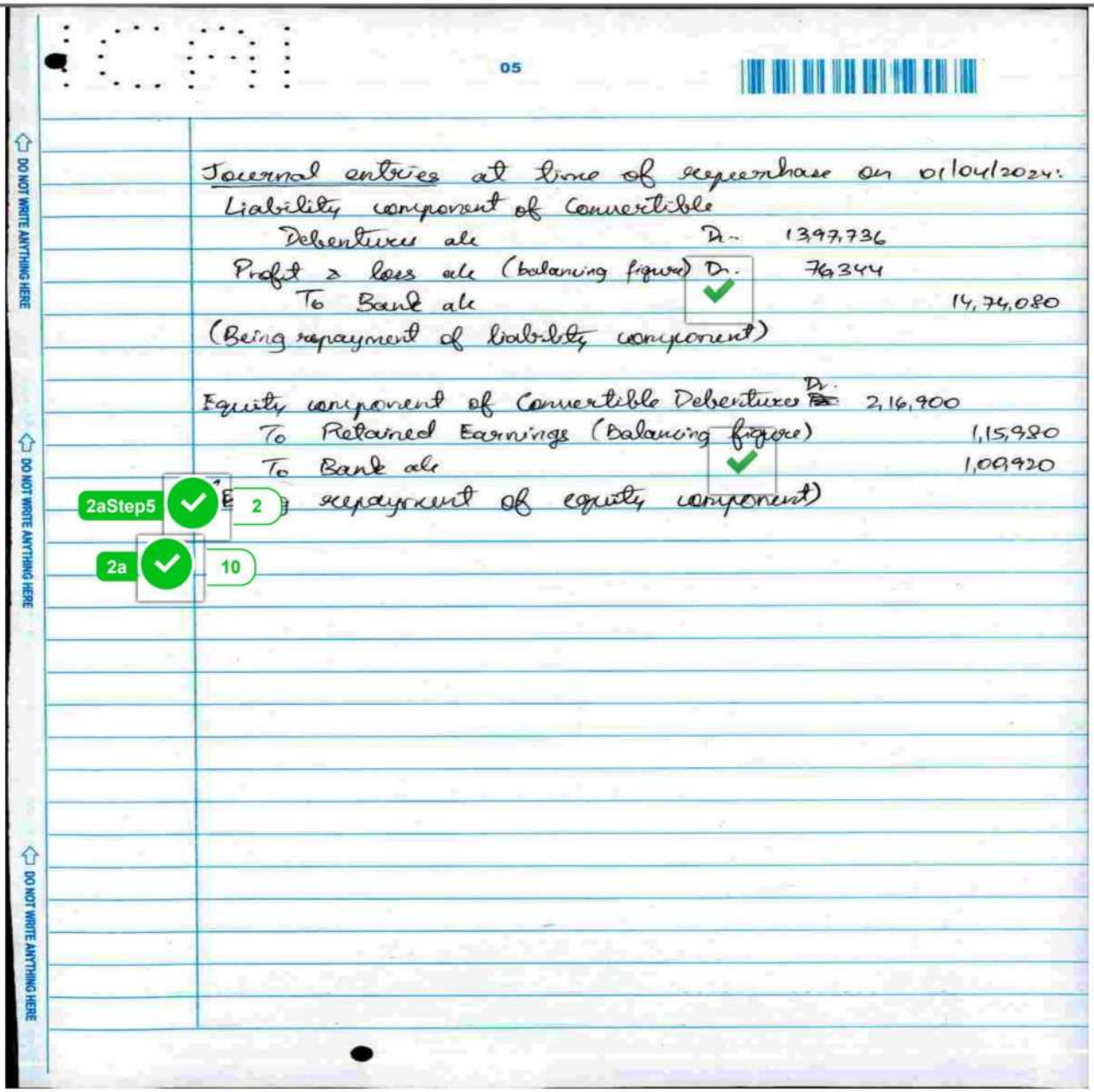
ii) Liability component is amortized using amortized cost method as follows:

Year Ending	Opening Balance (a)	EIR @ 12% (a) x 12% (b)	Principal & Coupon payment (c)	Closing balance (a)+(b)-(c)
31/03/22	12,83,100	1,53,972	(1,20,000)	13,17,072
31/03/23	13,17,072	1,58,049	(1,20,000)	13,55,121
31/03/24	13,55,122	1,62,615	(1,20,000)	13,97,736
31/03/25	13,97,736	1,67,728	(1,20,000)	14,45,464
31/03/26	14,45,464	1,74,536	(16,20,000) (15,20,000)	-
		8,16,900		

2aStep3 2.5 Difference is due to rounding off - 174,536 - 1,73456
= 71,080

iii) At the time of repurchase:

Repurchase price	15,75,000
(-) Liability component (Discounting remaining cashflows @ 9%)	
1,20,000 x 1.759 PVF(9%, 2years) + 15,00,000 x 0.842 PVF(9%,2nd) =	(14,74,080)
2aStep4 3 Equity component	1,00,920



05

Journal entries at time of repurchase on 01/04/2024:

Liability component of Convertible Debentures a/c	Dr.	13,97,736	
Profit & loss a/c (balancing figure)	Dr.	76,344	
To Bank a/c			14,74,080
(Being repayment of liability component)			
Equity component of Convertible Debentures	Dr.	2,16,900	
To Retained Earnings (Balancing figure)			1,15,980
To Bank a/c			1,09,920
(Being repayment of equity component)			

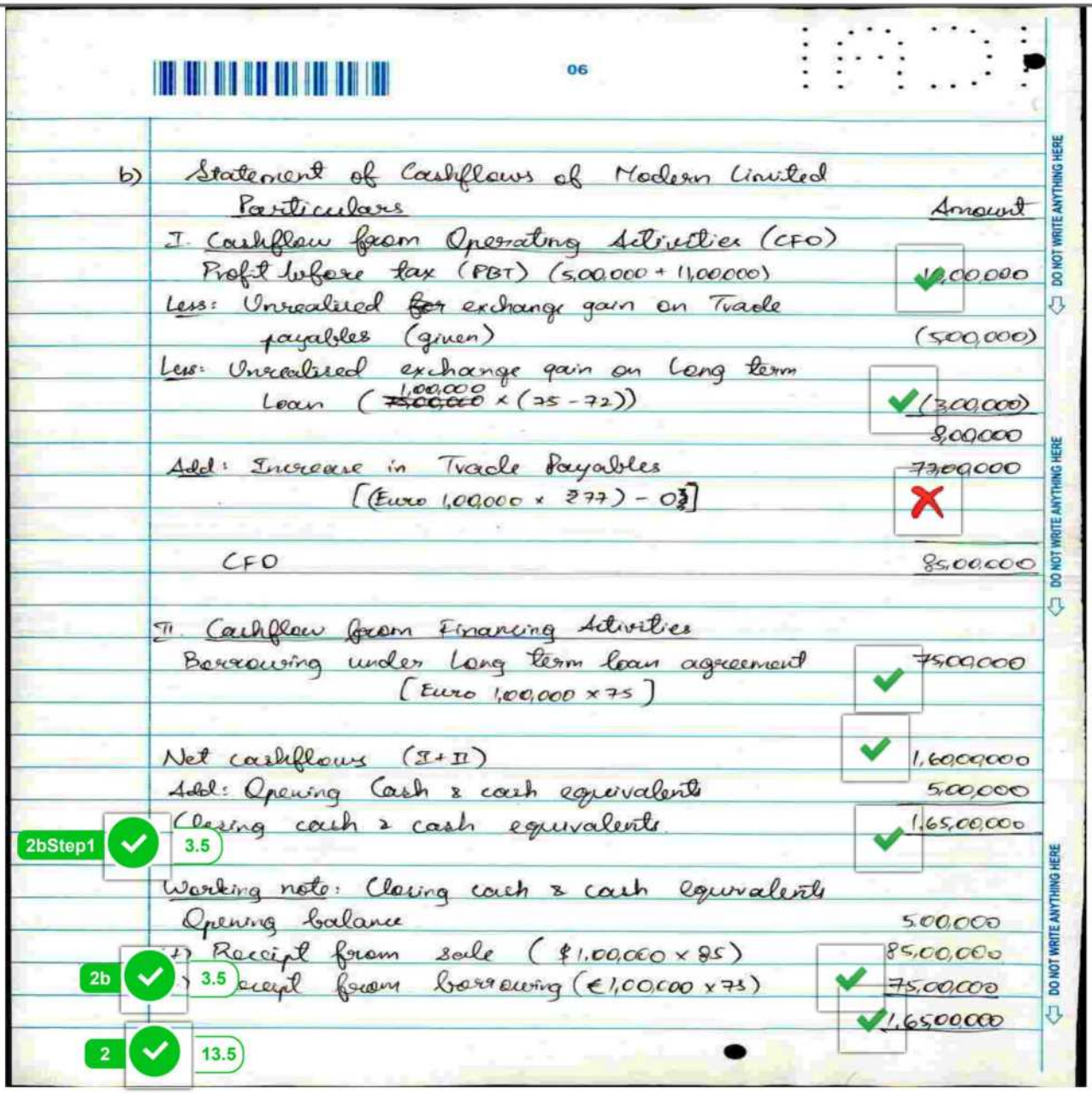
2aStep5 2

2a 10

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06

b) Statement of Cashflows of Modern Limited

Particulars	Amount
I. Cashflow from Operating Activities (CFO)	
Profit before tax (PBT) (5,00,000 + 11,00,000)	16,00,000
Less: Unrealised ~~for~~ exchange gain on Trade payables (given)	(5,00,000)
Less: Unrealised exchange gain on Long term Loan (~~75,00,000~~ 1,00,000 × (75 - 72))	(3,00,000)
	8,00,000
Add: Increase in Trade Payables [(Euro 1,00,000 × ₹77) - 0]	~~77,00,000~~
CFO	85,00,000
II. Cashflow from Financing Activities	
Borrowing under Long term loan agreement [Euro 1,00,000 × 75]	75,00,000
Net cashflows (I+II)	1,60,00,000
Add: Opening Cash & cash equivalents	5,00,000
Closing cash & cash equivalents	1,65,00,000

2bStep1 3.5

Working note: Closing cash & cash equivalents

Opening balance	5,00,000
I) Receipt from sale ($1,00,000 × 85)	85,00,000
II) Receipt from borrowing (€1,00,000 × 75)	75,00,000
	1,65,00,000

2b 3.5

2 13.5

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07

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Q4) a) As per Ind AS 23 capitalization of borrowing cost (BC) shall commence from later of:

i) Date of borrowing - 01/07/2023
ii) Commencement of activities - 01/01/2023
iii) Date when expenditure is incurred

Borrowing cost to be capitalized:

FY 2022-23 - No BC to be capitalized since borrowing was obtained only on 01/07/23.

FY 2023-24:

Capitalization of BC should commence from 01/07/2023.

Expenditure incurred till 01/07/2023 = ₹50 lakhs

BC on above till 31/03/2024

= 50,00,000 × 12% × 9/12

: ₹4,50,000

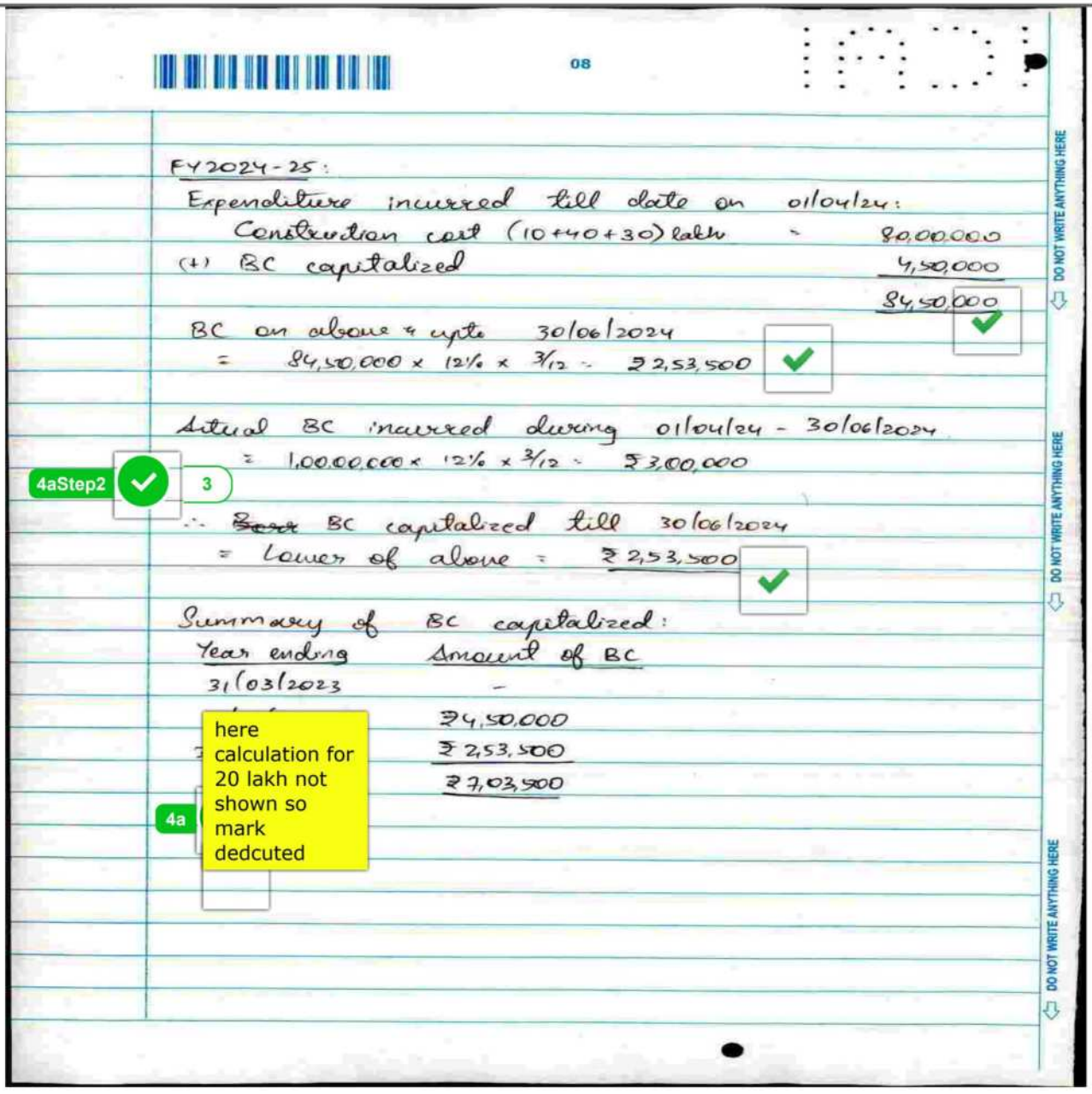
4aStep1 2

No BC capitalized on 30 lakhs expenditure on 31/03/24 since it was incurred on last day of the year.

Actual BC during the year

= ~~50,00~~ 1,00,00,000 × 12% × 9/12 = ₹9,00,000

∴ BC permitted to be capitalized shall be lower of ₹4,50,000 & ₹9,00,000 ie. ₹4,50,000.



08

FY 2024-25:

Expenditure incurred till date on 01/04/24:

Construction cost (10+40+30) lakh	80,00,000
(+) BC capitalized	4,50,000
	84,50,000

BC on above upto 30/06/2024

= 84,50,000 × 12% × 3/12 = ₹ 2,53,500

Actual BC incurred during 01/04/24 - 30/06/2024

= 1,00,00,000 × 12% × 3/12 = ₹ 3,00,000

4aStep2 3

∴ ~~Beer~~ BC capitalized till 30/06/2024

= Lower of above = ₹ 2,53,500

Summary of BC capitalized:

Year ending	Amount of BC
31/03/2023	-
	₹ 4,50,000
	₹ 2,53,500
	₹ 7,03,500

4a

here calculation for 20 lakh not shown so mark dedcuted

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09

b) Amortized cost working of the loan for FY 2024-25:

	Opening balance (a)	EIR@11% (a)×11% (b)	Interest paid (c)	Exchange difference (balancing)	Closing balance (a)+(b)-(c)
In USD :	30,000	3,300	(2,400)	-	30,900
× Exchange rate	₹74 (01/04/24)	₹72 (Average)	₹78 (31/03/25)		₹78 (31/03/25)
In ₹ :	22,20,000	2,37,600	(1,87,200)	1,39,800 (bal)	24,10,200

a) The loan shall be initially measured at the exchange rate (Fx rate) on 01/04/24
= USD 30,000 × 74 = ₹22,20,000

4bStep1 2

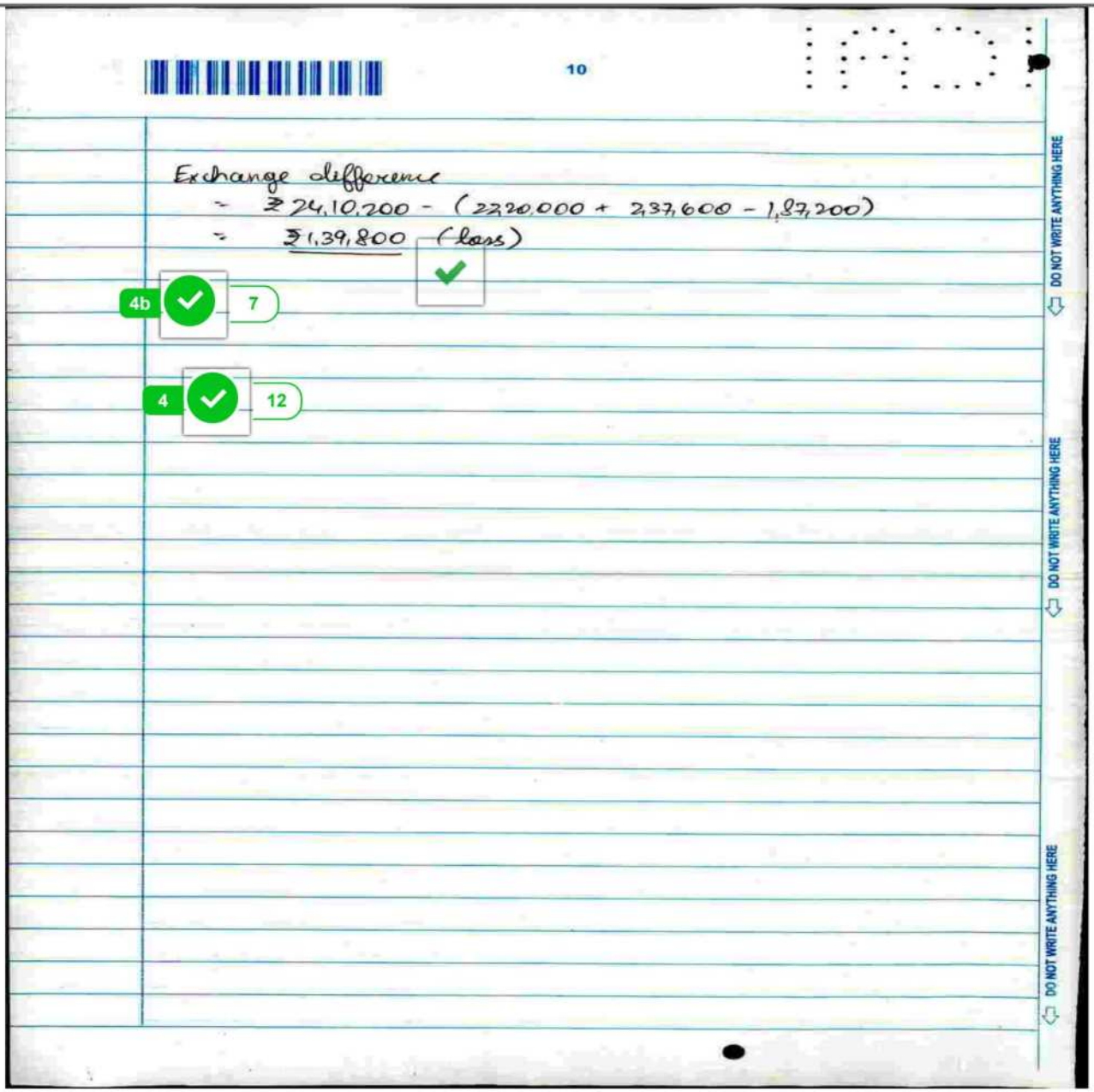
4bStep2 5

b) Finance cost for the year shall be ~~converted at~~ the effective interest rate (EIR) @ 11% which shall be converted ~~@ Fx rate~~ at average Fx rate for the year.
= USD 30000 × 11% × 72 = ₹2,37,600

c) Closing balance in USD as per amortized cost shall be converted at the closing Fx rate on 31/03/2025 = USD 30,900 × 78 = ₹24,10,200

d) Exchange gain/loss in ₹ shall be the balance figure as computed in the schedule above

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10

Exchange difference
= ₹24,10,200 - (22,20,000 + 2,37,600 - 1,87,200)
= ₹1,39,800 (loss)

4b ✓ 7

4 ✓ 12

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Qs) a) As per Ind AS 115, the revenue for construction of asset by Shivank Limited shall be recognised over a period as and when the performance obligation is being discharged.

In the given case, the percentage completion is being measured based on cost-to-cost input method.

Further as per Ind AS 115, the transaction price (TP) shall include the estimated variable consideration (VC) to be receivable provided it is not constrainted.

FY 2023-24

Total contract price (TP) - ₹1,20,00,000
(Excluding VC since it is constrainted)

Percentage completion - 60%.

5aStep1 1.5

Revenue recognised - 1,20,00,000 × 60%	=	72,00,000
(-) Cost incurred - 71,00,000 × 60%	=	(42,60,000)
Gross profit FY 2023-24		29,40,000

FY 2024-25

On 30/04/2025, the contract was modified with the effect that VC was no longer constrainted as time limit for achieving bonus was extended

by 4 months. Therefore, Shivank Limited should now include the VC in TP

Cost incurred till date = ₹42,60,000
Revised estimated total cost = ₹71,00,000 + 7,60,000
= ₹78,60,000
Work completed (%) = 42,60,000 / 78,60,000 = 54.198%

Total contract price (TP) = 1,20,00,000 + 15,50,000 + 35,00,000
= ₹1,70,50,000

Revenue to be recognised till date
= 1,70,50,000 × 54.198% = 92,40,759
(-) Earlier recorded (72,00,000)
Cumulative catch up adjustment 20,40,759

∴ Shivank Limited should recognise a cumulative revenue catch up of ₹20,40,759 as the contract modified contract remains a single performance obligation.

5aStep2 2.5

5a 4

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13

c) Second option

→ Equity is defined as the residual interest in assets of the entity after deducting all of its liabilities.

→ Income is the increase in assets, or decrease in liabilities resulting in increase in equity, other than receipts from holders of equity claims.

→ Expenses are the decrease in assets, or increase in liabilities resulting in decrease in decrease in equity, other than distributions to ow holders of equity claims.

Information with respect to incomes and expenses helps users in understanding of financial statements the following ways:

5cStep1 3.5

→ They show the changes in economic resources and claims during the period.

→ They show the management's stewardship of economic resources of the entity.

→ They measure financial performance of the entity.

5c 3.5

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b)i) As per Ind AS 40, land held for capital appreciation purpose shall be classified as investment property (IP), which shall be measured at cost.

~~#~~ Further, as per Ind AS 101, at the time of first time adoption ~~the~~ ~~of~~ of Ind AS, the management can avail the deemed cost exemption to measure existing PPE & IP at ~~their~~ ~~cost~~ carrying amount as per previous ~~GAA~~ GAAP.

∴ Land shall be classified as Investment Property at a carrying amount of ₹15,00,000

Further, irrespective of the choice taken by management for foreign exchange differences as per Ind AS 21, the management can ~~conti~~ avail the deemed cost exemption even if exchange differences were earlier capitalized to PPE in accordance with para 46A of AS-11.

∴ No adjustment is required in respect of the existing capitalized exchange differences in PPE and carrying amount of PPE can be taken as its deemed cost.

ii) As per Ind AS 101, management can choose a particular date after which all past business combinations that have taken place are to be

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15

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restated with corresponding adjustments to goodwill. Since, fair value exercise was not done at the time of acquisition of X Private Limited, the management may choose not to restate past business combinations and therefore the goodwill of ₹1,25,000 can be carried as per the previous GAAP carrying amount. Impairment testing for goodwill shall be done at the transition date and every year subsequently in accordance with Ind AS 36 and Ind AS 103.

iii) As per Ind AS 101, management can choose to either retrospectively adjust financial instruments or measure them at the fair value on the transition date.

Therefore, the loan can be measured at ₹5,00,000 being the fair value on transition date with corresponding ~~debit~~ credit to retained earnings of ₹1,00,000 to adjust the previous GAAP value.

5bStep1 2

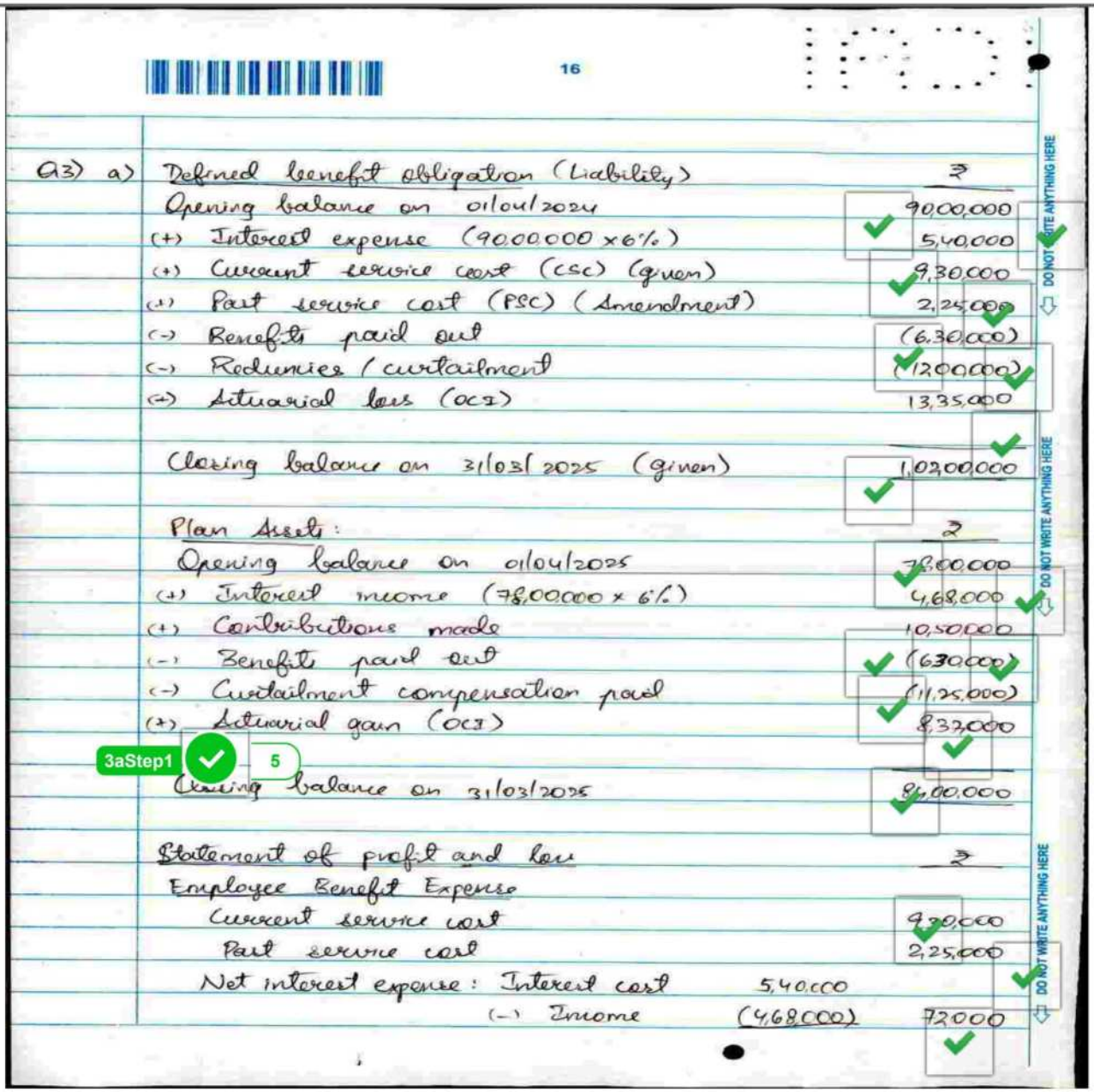
Journal entry:

~~Retained earnings~~
~~To~~

Loan a/c	Dr.	1,00,000	
To Retained earnings			1,00,000

5b 2

5 9.5



16

Q3) a) Defined benefit obligation (Liability)

	₹
Opening balance on 01/04/2024	90,00,000
(+) Interest expense (90,00,000 × 6%)	5,40,000
(+) Current service cost (CSC) (given)	9,30,000
(+) Past service cost (PSC) (Amendment)	2,25,000
(-) Benefits paid out	(6,30,000)
(-) Reduction / curtailment	(12,00,000)
(+) Actuarial loss (OCI)	13,35,000
Closing balance on 31/03/2025 (given)	1,02,00,000

Plan Assets:

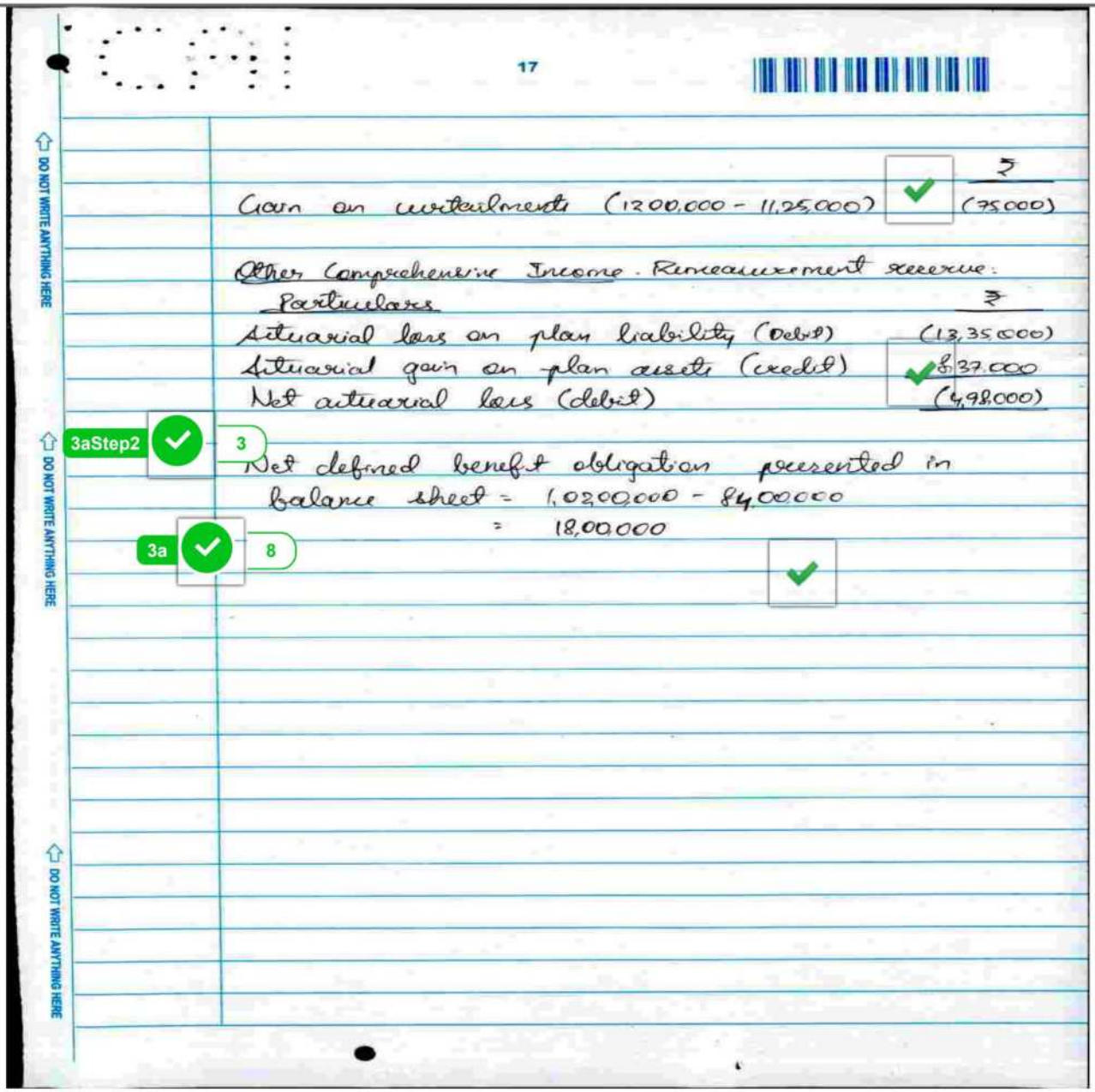
	₹
Opening balance on 01/04/2025	78,00,000
(+) Interest income (78,00,000 × 6%)	4,68,000
(+) Contributions made	10,50,000
(-) Benefits paid out	(630,000)
(-) Curtailment compensation paid	(11,25,000)
(+) Actuarial gain (OCI)	8,37,000
Closing balance on 31/03/2025	84,00,000

3aStep1 5

Statement of profit and loss

		₹
Employee Benefit Expense		
Current service cost		9,30,000
Past service cost		2,25,000
Net interest expense: Interest cost	5,40,000	
(-) Income	(4,68,000)	72,000

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17

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	₹
Gain on settlements (1200,000 - 11,25,000)	(75,000)

Other Comprehensive Income - Remeasurement reserve:

Particulars	₹
Actuarial loss on plan liability (Debit)	(13,35,000)
Actuarial gain on plan assets (credit)	8,37,000
Net actuarial loss (debit)	(4,98,000)

3aStep2 3

Net defined benefit obligation presented in balance sheet = 1,02,00,000 - 84,00,000
= 18,00,000

3a 8

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b) Basic EPS = Profit attributable to equity shareholders / Weighted average no. of equity shares (WANES)

$= \frac{91,20,000}{5,00,000} = ₹18.24$

[50,00,000 ÷ 10]

Diluted EPS

Incremental shares on account of warrants

$= 2,00,000 - 2,00,000 \times \frac{84}{140}$

$= 80,000$

Incremental shares on account of employee options

$= 1,40,000 - 1,40,000 \times \frac{112}{140}$

$= 28,000$

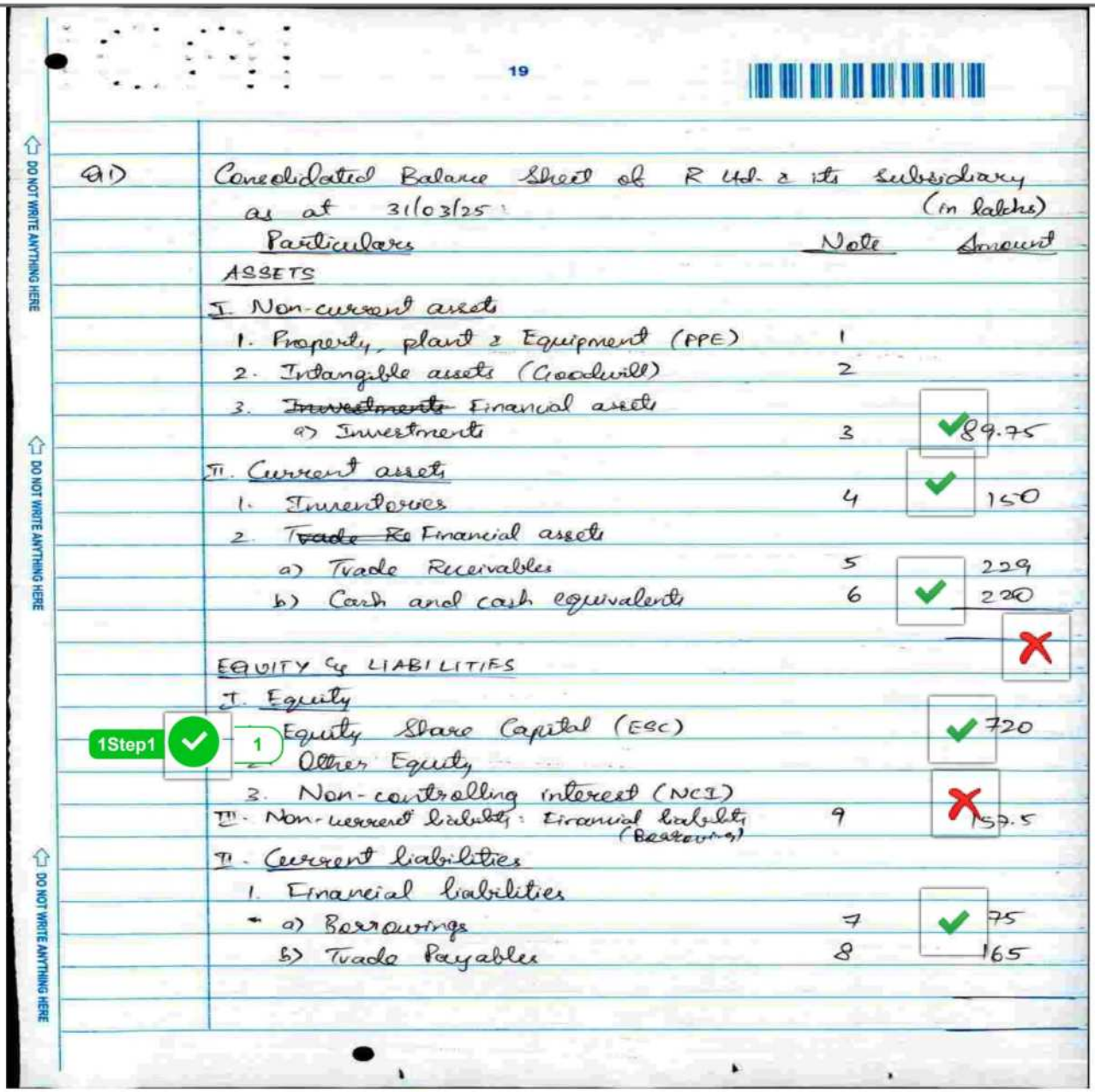
Both the above instruments are dilutive in nature since their incremental EPS is zero (0).

Diluted EPS = $\frac{91,20,000}{5,00,000 + 80,000 + 28,000} = ₹15$

3bStep1 3b 6

3 14

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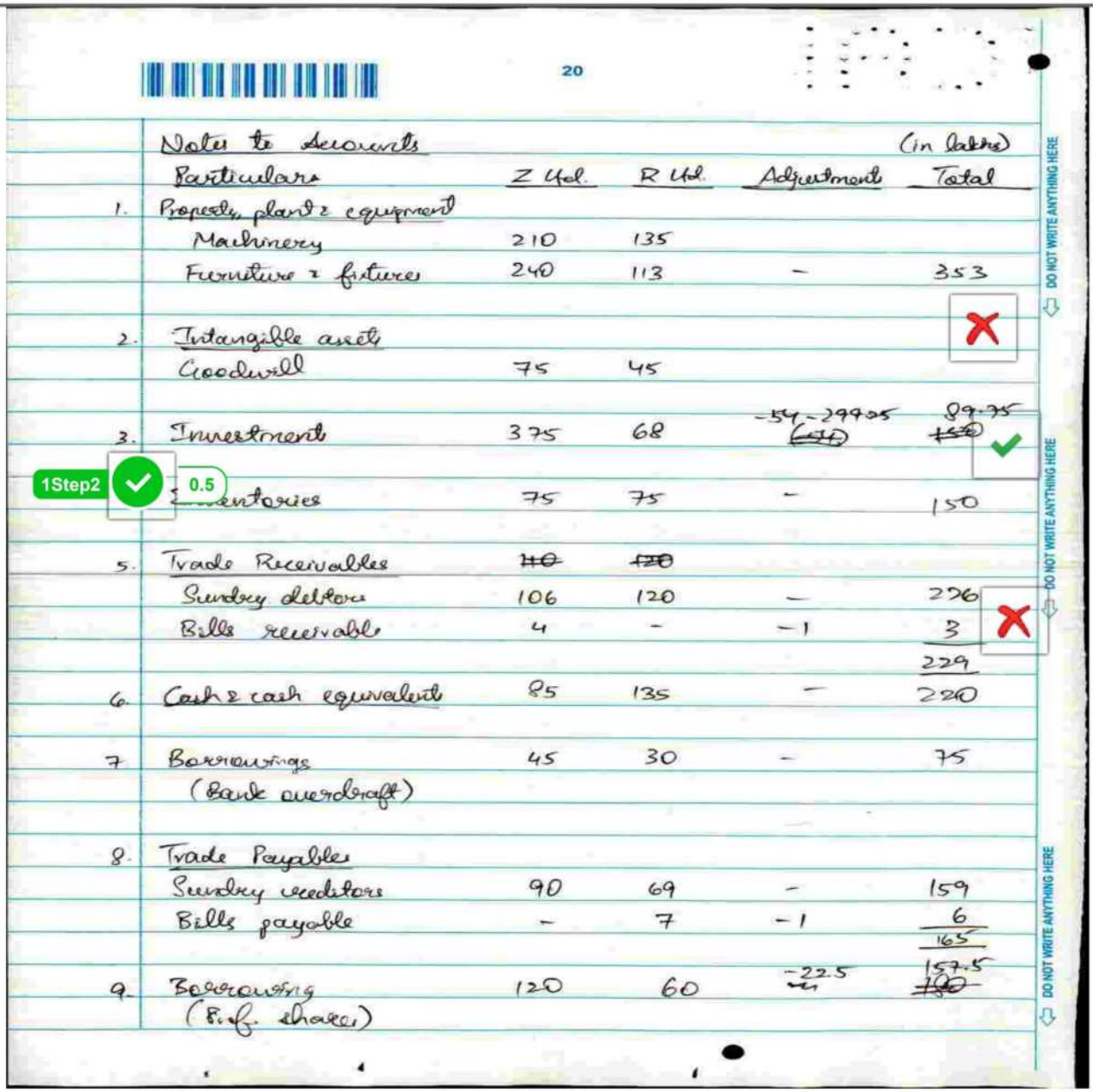


19

Q1) Consolidated Balance Sheet of R Ltd. & its Subsidiary as at 31/03/25 (in lakhs)

Particulars	Note	Amount
ASSETS		
I. Non-current assets		
1. Property, plant & Equipment (PPE)	1	
2. Intangible assets (Goodwill)	2	
3. ~~Investments~~ Financial assets		
a) Investments	3	89.75
II. Current assets		
1. Inventories	4	150
2. ~~Trade Re~~ Financial assets		
a) Trade Receivables	5	229
b) Cash and cash equivalents	6	220
EQUITY & LIABILITIES		
I. Equity		
1. Equity Share Capital (ESC)		720
2. Other Equity		
3. Non-controlling interest (NCI)		
II. Non-current liability: Financial liability (Borrowings)	9	159.5
II. Current liabilities		
1. Financial liabilities		
a) Borrowings	7	75
b) Trade Payables	8	165

1Step1 1



20

Notes to accounts (in lakhs)

	Particulars	Z Ltd.	R Ltd.	Adjustments	Total
1.	Property, plant & equipment				
	Machinery	210	135		
	Furniture & fixtures	240	113	–	353
2.	Intangible assets				
	Goodwill	75	45		
3.	Investments	375	68	~~-54~~ -29.25 ~~(270)~~	~~89.75~~ ~~150~~
4.	Inventories	75	75	–	150
5.	Trade Receivables	~~110~~	~~120~~		
	Sundry debtors	106	120	–	226
	Bills receivable	4	–	-1	3
					229
6.	Cash & cash equivalents	85	135	–	220
7.	Borrowings (Bank overdraft)	45	30	–	75
8.	Trade Payables				
	Sundry creditors	90	69	–	159
	Bills payable	–	7	-1	6
					165
9.	Borrowing (Pref. shares)	120	60	-22.5	157.5 ~~150~~

1Step2 0.5

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Working notes

1. Stake acquired

Total no. of shares of R Ltd. = $\frac{300}{10}$ = 30 lakhs

On 01/04/24 = $\frac{12 \text{ lakh}}{30 \text{ lakh}}$ = 40%

On 01/01/25 = $\frac{13.5 \text{ lakh}}{30 \text{ lakh}}$ = 45% (Acquisition date)

Controlling stake 85%

~~Fair value~~

~~Fair value of existing stake on 01/01/25 = 12,00,000~~

Fair value of entire stake on 01/01/25

= (12,00,000 + 13,50,000) × 14 = 3,57,00,000

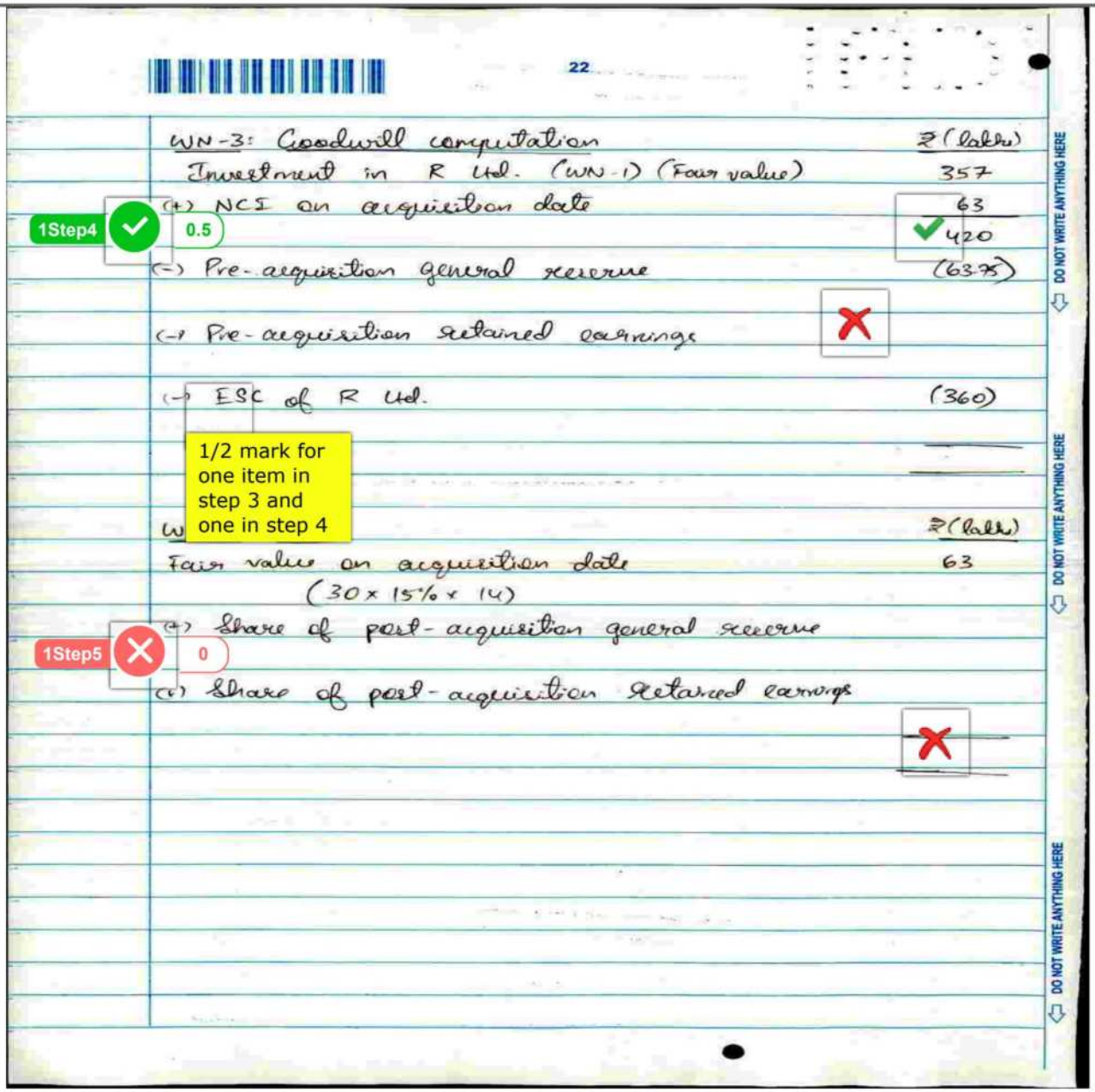
(-) Cost of investment (1,44,00,000 + 1,55,25,000) - (2,99,25,000)

Gain on revaluation of investment 57,75,000

2. Consolidated Other Equity

1Step3 0.5

Particulars	General Reserve	Retained Earnings (lakhs)
Z Ltd's reserves	120	195
(+) Gain on revaluation of investment (WN-1)	-	57.75
(-) Prof share		(31.5)
(+) Share of post-acquisition general reserve		
(+) Share of post-acquisition retained earnings		
Total =		



22

WN-3: Goodwill computation ₹ (lakhs)

Investment in R Ltd. (WN-1) (Fair value) 357

(+) NCI on acquisition date 63

420

(-) Pre-acquisition general reserve (63.75)

(-) Pre-acquisition retained earnings

(-) ESC of R Ltd. (360)

W ₹ (lakhs)

Fair value on acquisition date 63

(30 × 15% × 14)

(+) Share of post-acquisition general reserve

(+) Share of post-acquisition retained earnings

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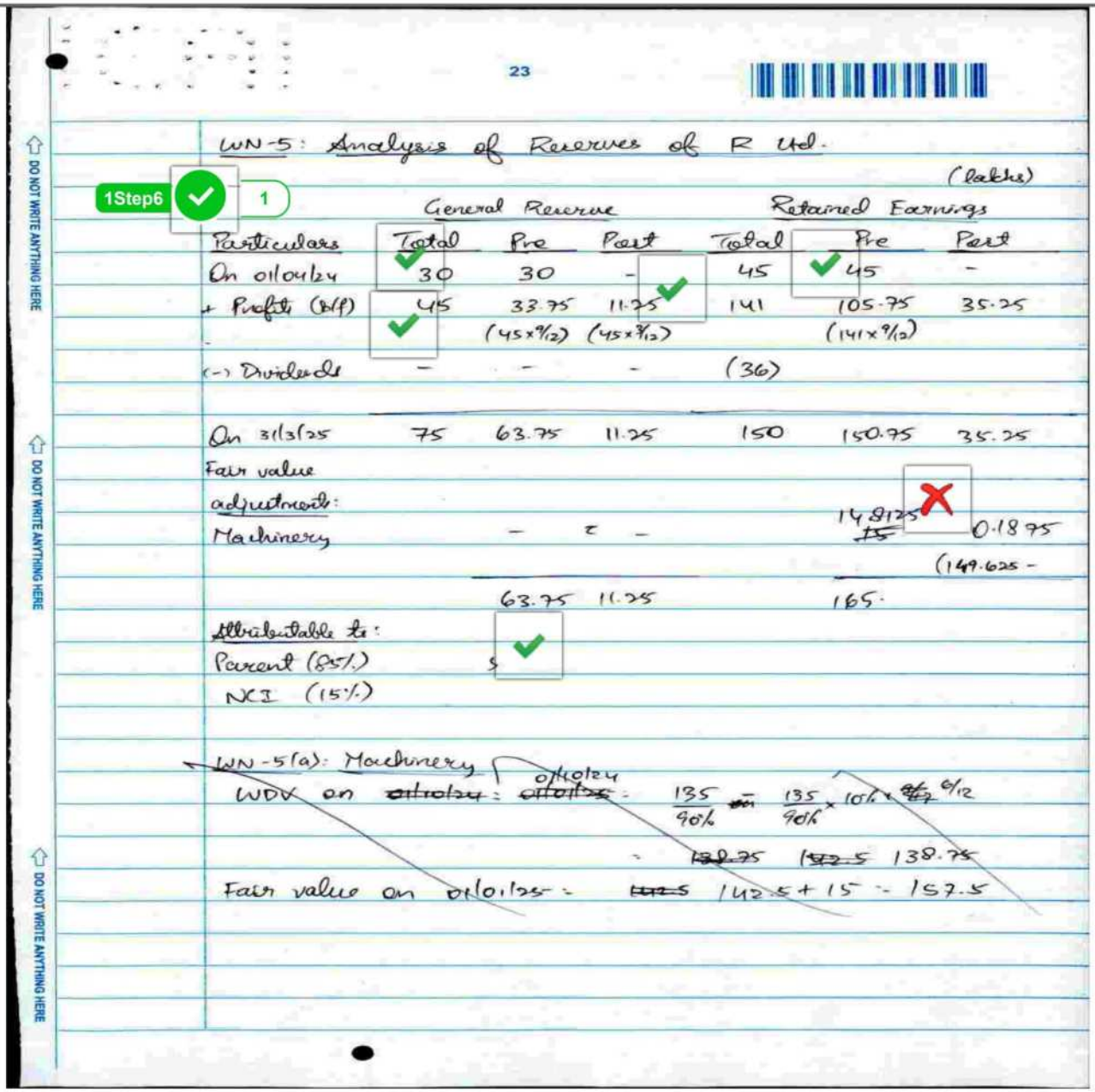
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1Step4 0.5

1Step5 0

1/2 mark for one item in step 3 and one in step 4



23

WN-5: Analysis of Reserves of R Ltd.

(lakhs)

1Step6 1

Particulars	General Reserve Total	General Reserve Pre	General Reserve Post	Retained Earnings Total	Retained Earnings Pre	Retained Earnings Post
On 01/04/24	30	30	-	45	45	-
+ Profit (b/f)	45	33.75 (45×9/12)	11.25 (45×3/12)	141	105.75 (141×9/12)	35.25
(-) Dividends	-	-	-	(36)		
On 31/3/25	75	63.75	11.25	150	150.75	35.25
Fair value adjustments:						
Machinery		-	-		~~149.625~~ 149.8125	0.1875 (149.625 - 150)
		63.75	11.25		165	
Attributable to:						
Parent (85%)						
NCI (15%)						

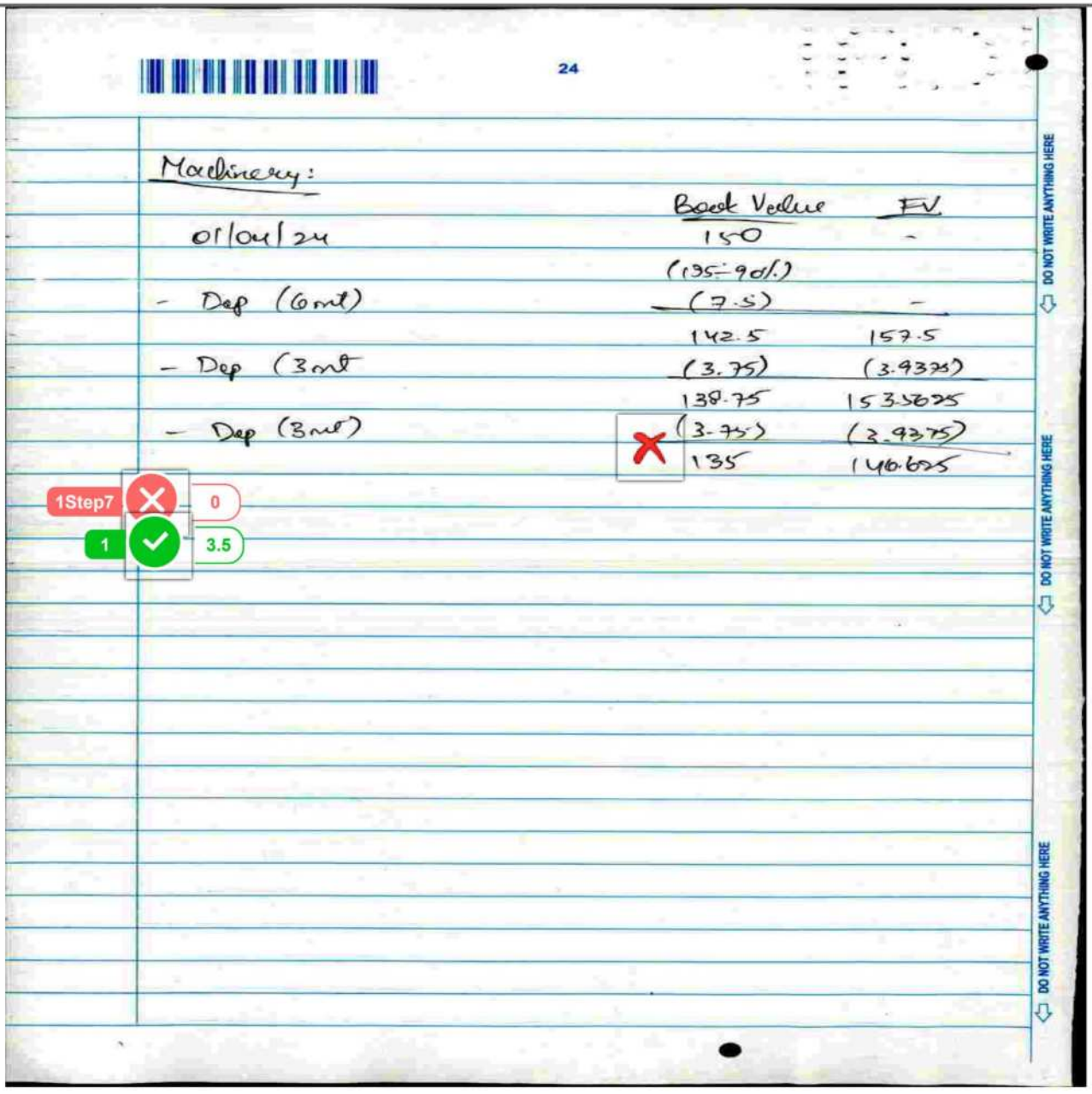
WN-5(a): Machinery

WDV on ~~01/01/24~~ 01/01/25: ~~135~~ 135/90% ~~=~~ 135/90% × 10% × ~~9/12~~ 6/12

~~135~~ - ~~2.25~~ 142.5 138.75

Fair value on 01/01/25: ~~142.5~~ 142.5 + 15 = 157.5

Code:	FN1FR334244	Total Marks:	70
Subject :	01 Financial Reporting	Marks Obtained :	52.5



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Machinery:

	Book Value	FV
01/04/24	150	-
	(135-90%)	
- Dep (6mt)	(7.5)	-
	142.5	157.5
- Dep (3mt	(3.75)	(3.9375)
	138.75	153.5625
- Dep (3mt)	(3.75)	(3.9375)
	135	146.625

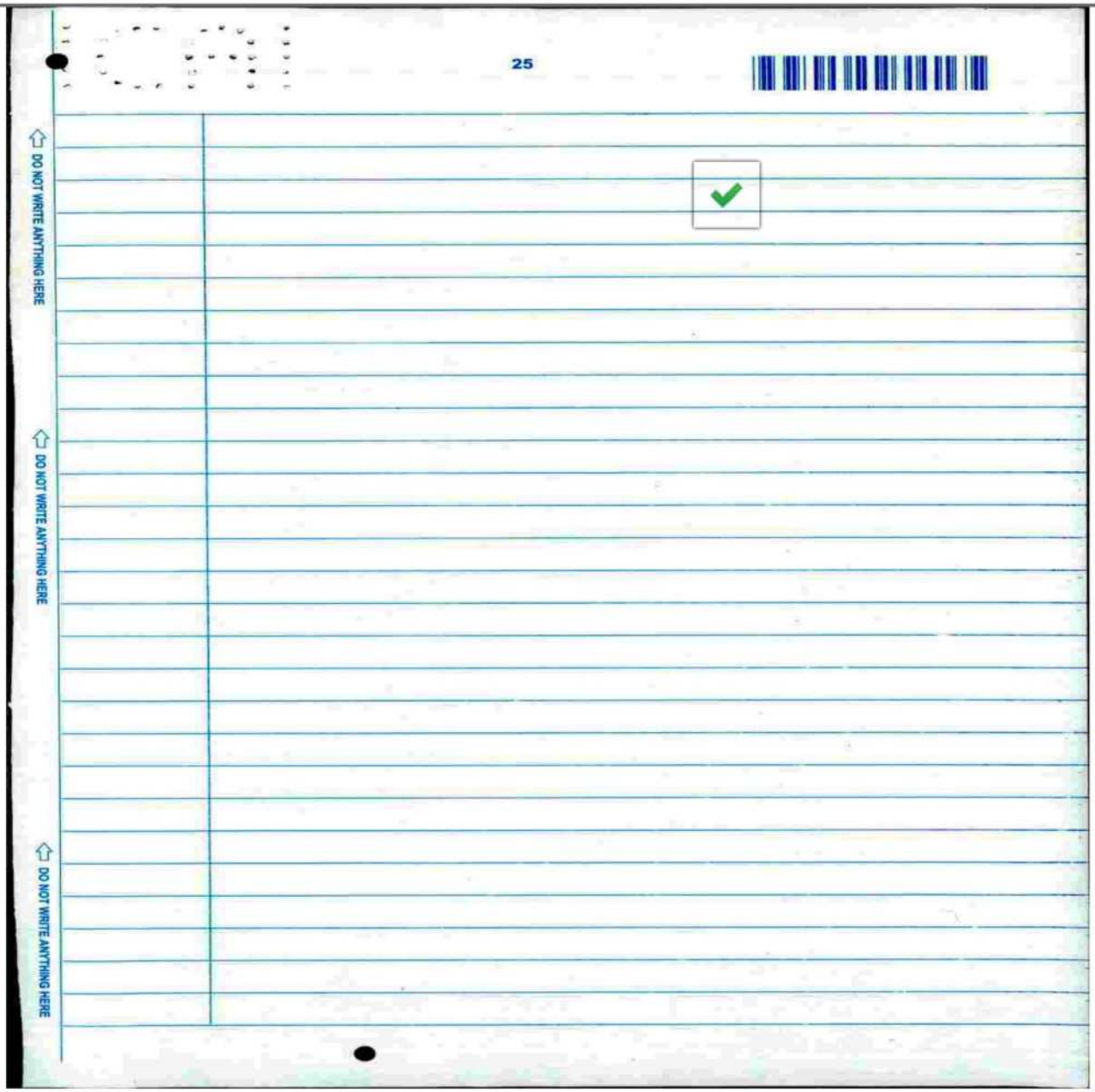
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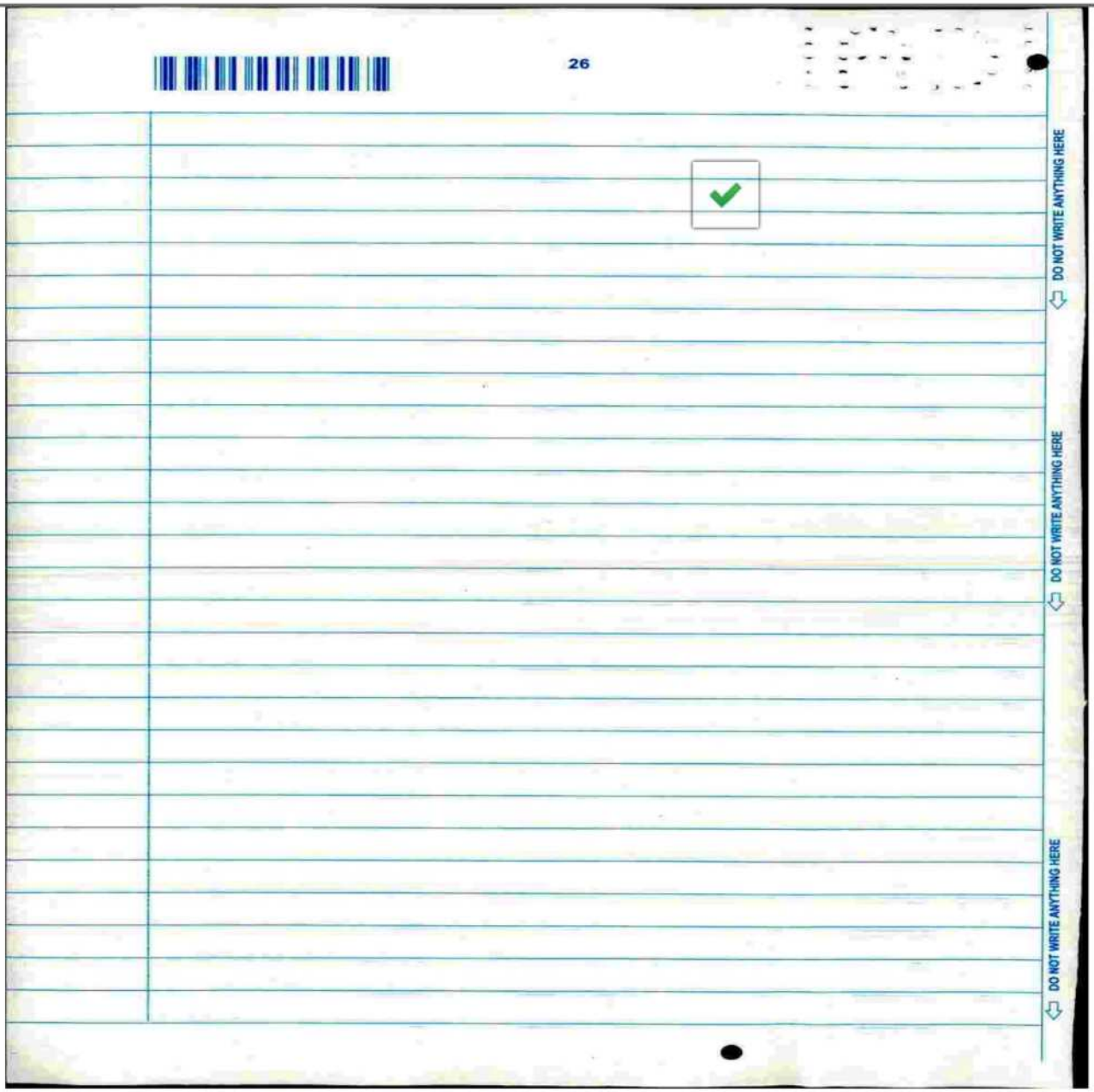
1Step7 ✗ 0

1 ✓ 3.5

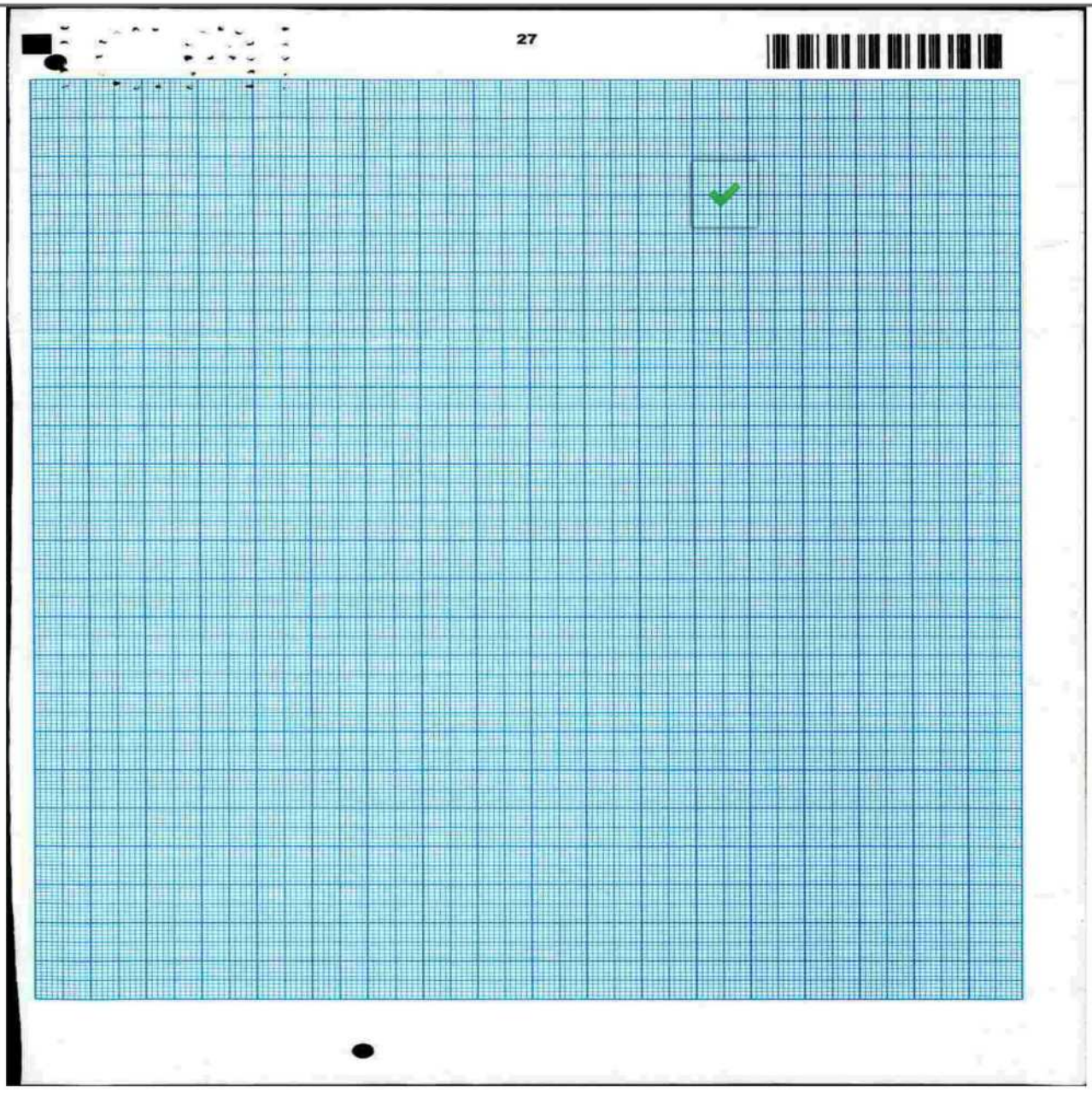

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The Institute of Chartered Accountants of India

Code:	FN1FR334244	Total Marks:	70
Subject :	01 Financial Reporting	Marks Obtained :	52.5



Code:	FN1FR334244	Total Marks:	70
Subject :	01 Financial Reporting	Marks Obtained :	52.5



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The Institute of Chartered Accountants of India

Code:	FN1FR334244	Total Marks:	70
Subject :	01 Financial Reporting	Marks Obtained :	52.5

Result Overview

Awarded Marks: 52.5 **Max Marks:**70

NA Not Attempted O Optional M Marked

Q1_Compulsory (Score: 3.5/14)

Question No	Awarded Marks	Maximum Marks	Status
1	3.5	14	M

Q2_Q6 (Score: 49/56)

Question No	Awarded Marks	Maximum Marks	Status
2	13.5	14	M
2a	10	10	M
2b	3.5	4	M
3	14	14	M
3a	8	8	M
3b	6	6	M
4	12	14	M
4a	5	6	M
4b	7	8	M
5	9.5	14	M
5a	4	5	M
5b	2	5	M
5c	3.5	4	M
6	0	14	O
6a	0	5	O
6b	0	5	O
6c	0	4	O